This evaluation assesses the provided commercial invoice from **Precision Tooling Co., Ltd.** for compliance with U.S. Customs and Border Protection (CBP) requirements, specifically focusing on HTS accuracy and Section 232 steel duties.

1. Customs Compliance Audit

Based on the provided document, the invoice contains most of the mandatory data elements required by **19 CFR §141.86**, but it has some notable risks.

Strengths

- **Parties & Contact Info:** Clearly identifies the Shipper/Exporter (Taiwan) and Consignee/Buyer (USA) with full addresses and contact details .

- **Shipment Details:** Includes the Invoice Number (INV-2026-884), PO Number (PO-88374), and Bill of Lading (TPE-LAX-774920).

- **Incoterms & Value:** Terms of sale (CIF) and currency (USD) are explicitly stated.

- **Country of Origin (COO):** Correctly lists Taiwan as the Country of Origin for the goods.

Compliance Weaknesses & Risks

- **Conflicting Declaration:** The declaration statement on Page 4 states the goods were "exported from the United States". However, the shipper is in Taiwan and the route is Ocean Freight to the USA. This is a significant clerical error that could lead to a **Request for Information (CBP Form 28)** or a hold.

- **Material Breakdown:** While it provides a value breakdown (Carbon, Chromium, Vanadium) , it does not specify the **dimensions** (thickness, width) of the "Tool Steel Cutting Blanks". CBP often requires precise dimensions to verify steel classifications.

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2. HTS Code Accuracy Evaluation

The invoice uses **HS Code 8211.94.5000**.

- **Description:** "Tool Steel Cutting Blanks".

- **Classification Analysis:**

    - **Heading 8211** covers "Knives with cutting blades, serrated or not... and blades therefor."
    - **Subheading 8211.94** specifically covers "Blades."
    - **Statistical Suffix 5000** is for "Other" blades.
- **Feedback:** If these are indeed unfinished knife blades or blanks specifically shaped for knives, this code is likely correct. However, if these are "Tool Steel" blanks used for industrial machinery (not cutlery), they might be better classified under **Heading 7228** (Other alloy steel bars/shapes) or **Heading 8208** (Knives and cutting blades for machines).

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3. Section 232 Steel Tariffs & IEEPA Calculations

Because the material is "Tool Steel" containing Chromium and Vanadium, it is subject to **Section 232** trade remedies on steel.

Origin Analysis for Section 232

The invoice notes the **Country of Smelt and Pour is Austria**, while processing/finishing occurred in **Taiwan**. For Section 232 purposes, the origin is determined by where the steel was smelted and poured.

Tariff Calculation

1. **Customs Value (Value of Goods): $230,000.00** (Note: Duties are calculated on the value of the goods, excluding international freight/insurance).

2. **General (MFN) Duty:** Under 8211.94.5000, the rate is **Free** (0%).
3. **Section 232 Duties (Austria/EU):** Steel products from the EU are subject to a **Tariff-Rate Quota (TRQ)**. If the quota is filled, or if the importer does not have an allocation, a **25% ad valorem duty** applies under Heading 9903.80.01.
4. **IEEPA/Additional Sanctions:** As of 2026, there are no specific IEEPA-related sanctions targeting Austrian-poured steel processed in Taiwan, provided the entities involved are not on the SDN list.

Estimated Duty Breakdown: | Fee Type | Rate | Calculation | Estimated Amount | | :--- | :--- | :--- | :--- | | **MPF (Merchandise Processing Fee)** | 0.3464% (approx) | $230,000.00 \times 0.003464$ | $796.72 | | **Section 232 Steel Duty** | 25% | $230,000.00 \times 0.25$ | $57,500.00 | | **Total Estimated Duties/Fees** | | | **$58,296.72** |